

# United States 1988

## 1 Survey Description

**Survey:** The Panel Study of Income Dynamics (PSID) is the longest longitudinal household survey in the world. The Study started in 1968 and is currently being developed by the University of Michigan. It includes data related to employment, income, wealth, expenditures, health, marriage, childbearing, child development, philanthropy, education, and other topics. This document refers specifically to the data collected in 1988.

**Link to the document:** <https://simba.isr.umich.edu/data/data.aspx>

**Sample:** The sample of the PSID was originally composed of approximately 18,000 people in 5,000 households, making it a representative sample of the entire country. This sample was complemented with a non-representative oversample of low-income families to facilitate the investigation of issues related to poverty and vulnerability. Over the years, the sample size has changed as the number of members in the families considered originally has grown.. There are 9,039 individuals in the total sample and 5,950 individuals in the analysis sample. Section 3 of this document describes the prevalence and pattern of missing data.

**Weights:** Population weights are computed as the ratio between specific weights for the Panel Study of Income Dynamics (PSID) and the Current Population Survey (CPS). These weights, based on sex, age, and ethnicity, are tailored for different demographic groups. Age groups are formed, and missing values are imputed using historical data. The process ensures a more representative combined dataset for analysis.

**Outcome:** The outcome variables are annual equivalized household disposable total (*eq\_iinc*) income in dollars PPP 2017.<sup>1</sup>

**Circumstances:**

- Race/Ethnicity (white, black, american indian, aleut, eskimo, asian, pacific islander, hispanic and others described in Table 1)
- Sex (female, male)
- Region of upbringing (6 categories described in Table 1)
- Fathers's edu. (levels of education, described in Table 2)
- Mother's edu. (levels of education, described in Table 2)
- Father's occ. (3 categories, High: includes ISCO 1, 2 and 3, Medium: includes ISCO 4, 5 and 6, and Low: ISCO 7, 8, 9 and 0, described in Table 3)
- Mother's occ. (3 categories, High: includes ISCO 1, 2 and 3, Medium: includes ISCO 4, 5 and 6, and Low: ISCO 7, 8, 9 and 0, described in Table 3)

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<sup>1</sup>Income variable was equivalized using the square root scale.

## 2 Descriptive Statistics

Table 1: Respondant's socio-demographics - 1988

|                             | Analysis sample | Total sample  |
|-----------------------------|-----------------|---------------|
|                             | (N=5,950)       | (N=9,039)     |
| <b>Gender</b>               |                 |               |
| 0 Female                    | 3,740 (62.9%)   | 5,098 (56.4%) |
| 1 Male                      | 2,210 (37.1%)   | 3,941 (43.6%) |
| <b>Ethnicity</b>            |                 |               |
| 1 White                     | 3,993 (67.1%)   | 5,490 (60.7%) |
| 2 Black                     | 1,751 (29.4%)   | 3,259 (36.1%) |
| 3 Am. Indian, Aleut, Eskimo | 102 (1.7%)      | 132 (1.5%)    |
| 4 Asian, Pac. Islander      | 19 (0.3%)       | 28 (0.3%)     |
| 5 Hispanic                  | 37 (0.6%)       | 51 (0.6%)     |
| 7 Other                     | 48 (0.8%)       | 79 (0.9%)     |
| <b>Region of upbringing</b> |                 |               |
| 1 Northeast                 | 1,072 (18.0%)   | 1,503 (16.6%) |
| 2 North central             | 1,684 (28.3%)   | 2,238 (24.8%) |
| 3 South                     | 2,456 (41.3%)   | 4,101 (45.4%) |
| 4 West                      | 644 (10.8%)     | 955 (10.6%)   |
| 5 Alaska, Hawaii            | 1 (0.0%)        | 2 (0.0%)      |
| 6 Foreign country           | 93 (1.6%)       | 126 (1.4%)    |
| Missing                     | 0 (0%)          | 114 (1.3%)    |

Table 2: Parental education - 1988

|                                     | Analysis sample | Total sample  |
|-------------------------------------|-----------------|---------------|
|                                     | (N=5,950)       | (N=9,039)     |
| <b>Father's education (levels)</b>  |                 |               |
| 0 Zero                              | 113 (1.9%)      | 156 (1.7%)    |
| 1 0-5 Grades                        | 472 (7.9%)      | 770 (8.5%)    |
| 2 6-8 Grades                        | 2,138 (35.9%)   | 3,236 (35.8%) |
| 3 9-11 Grades                       | 675 (11.3%)     | 1,027 (11.4%) |
| 4 Grades/High school                | 1,445 (24.3%)   | 2,042 (22.6%) |
| 5 12 Grades + non academic training | 103 (1.7%)      | 144 (1.6%)    |
| 6 College, no degree                | 379 (6.4%)      | 502 (5.6%)    |
| 7 College degree                    | 415 (7.0%)      | 535 (5.9%)    |
| 8 Advanced college                  | 210 (3.5%)      | 273 (3.0%)    |
| Missing                             | 0 (0%)          | 354 (3.9%)    |
| <b>Mother's education (levels)</b>  |                 |               |
| 0 Zero                              | 80 (1.3%)       | 103 (1.1%)    |
| 1 0-5 Grades                        | 329 (5.5%)      | 610 (6.7%)    |
| 2 6-8 Grades                        | 1,538 (25.8%)   | 2,319 (25.7%) |
| 3 9-11 Grades                       | 950 (16.0%)     | 1,500 (16.6%) |
| 4 Grades/High school                | 2,014 (33.8%)   | 2,810 (31.1%) |
| 5 12 Grades + non academic training | 172 (2.9%)      | 236 (2.6%)    |
| 6 College, no degree                | 437 (7.3%)      | 602 (6.7%)    |
| 7 College degree                    | 324 (5.4%)      | 440 (4.9%)    |
| 8 Advanced college                  | 106 (1.8%)      | 144 (1.6%)    |
| Missing                             | 0 (0%)          | 275 (3.0%)    |

Table 4: Respondant's income - 1988

|                 | N     | Mean   | SD     | Median | Min    | Max       | Missing |
|-----------------|-------|--------|--------|--------|--------|-----------|---------|
| Analysis sample | 5,950 | 41,626 | 50,764 | 33,085 | 276.58 | 1,185,095 | 0       |
| Total sample    | 9,039 | 39,113 | 46,361 | 31,454 | 18.44  | 1,185,095 | 0       |

Table 3: Parental occupation - 1988

|                                   | Analysis sample | Total sample  |
|-----------------------------------|-----------------|---------------|
|                                   | (N=5,950)       | (N=9,039)     |
| <b>Father's occupation (ISCO)</b> |                 |               |
| 1 Low                             | 2,593 (43.6%)   | 4,165 (46.1%) |
| 2 Middle                          | 2,186 (36.7%)   | 3,301 (36.5%) |
| 3 High                            | 1,171 (19.7%)   | 1,490 (16.5%) |
| Missing                           | 0 (0%)          | 83 (0.9%)     |
| <b>Mother's occupation (ISCO)</b> |                 |               |
| 1 Low                             | 4,440 (74.6%)   | 4,613 (51.0%) |
| 2 Middle                          | 487 (8.2%)      | 506 (5.6%)    |
| 3 High                            | 1,023 (17.2%)   | 1,050 (11.6%) |
| Missing                           | 0 (0%)          | 2,870 (31.8%) |

### 3 Missing data analysis

#### 3.1 Missing patterns

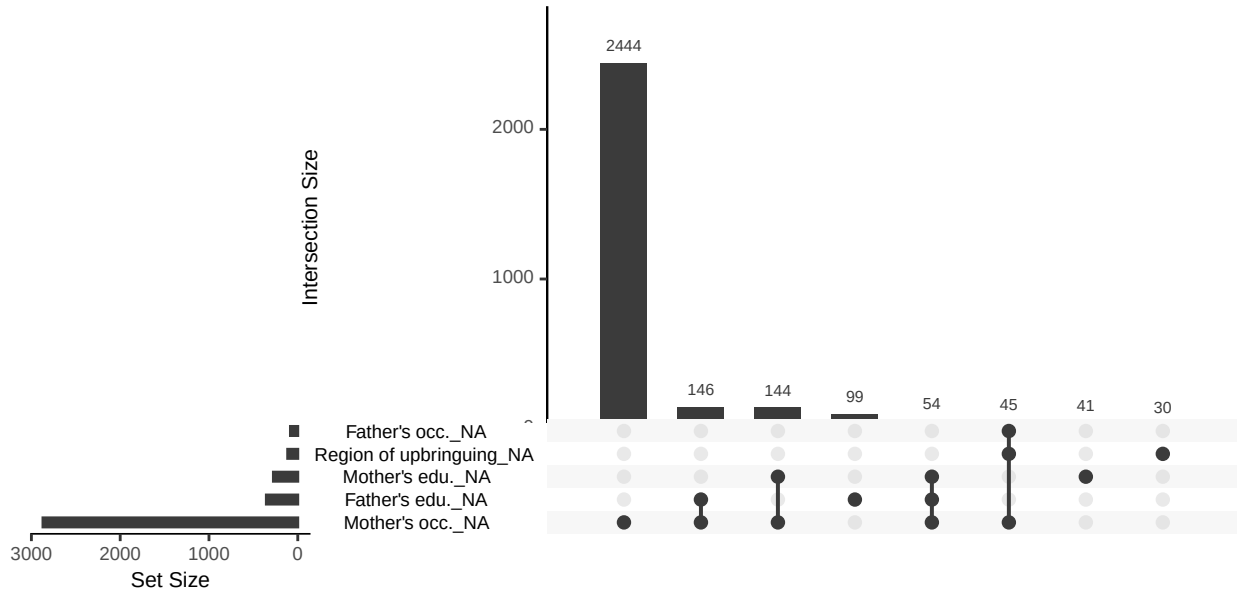


Figure 1: Missing patterns: *Left*: Marginal distribution of missing observations per variable. *Right*: Combination of missingness across cases

### 3.2 Differences in expected total equivalized household income between samples

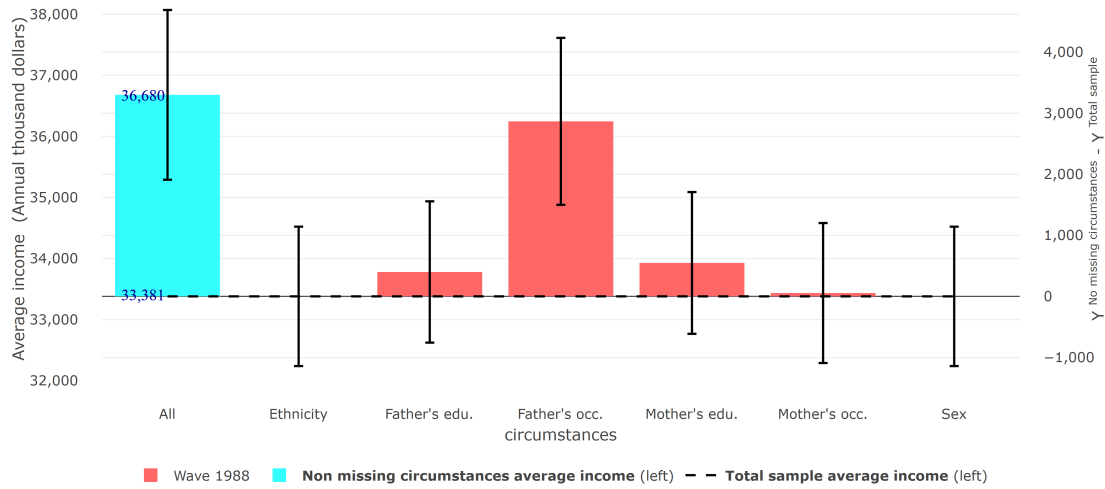


Figure 2: Differences in expected equivalized household income between the sample with non-missing circumstances and the total sample

### 3.3 Gini coefficient

Table 5: Gini coefficient in analysis sample and total sample

| Wave      | Sample          | Gini  | Lower bound | Upper bound | Average income |
|-----------|-----------------|-------|-------------|-------------|----------------|
| Wave 1988 | Analysis sample | 0.381 | 0.373       | 0.411       | 36,680         |
| Wave 1988 | Total sample    | 0.384 | 0.381       | 0.409       | 33,381         |

### 3.4 Differences in Gini coefficient between samples

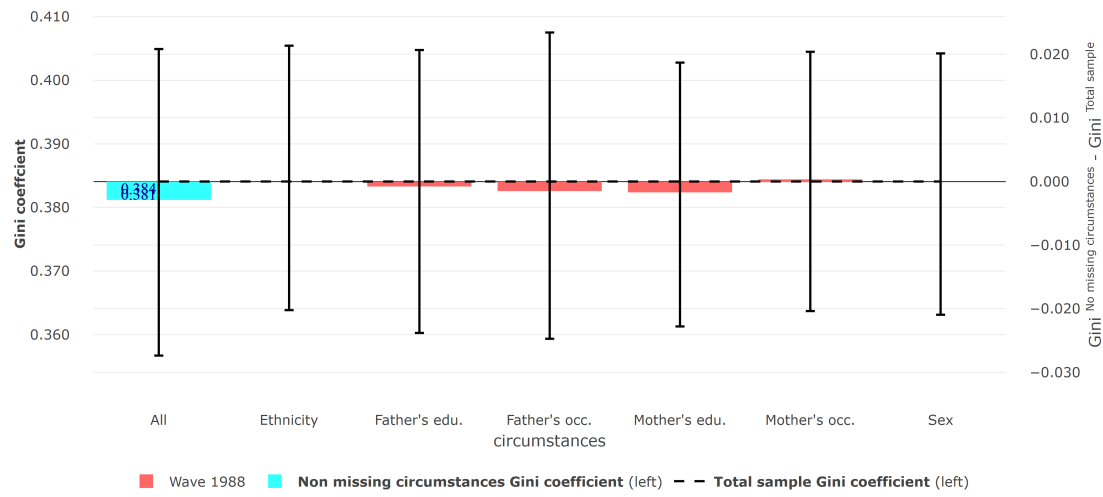


Figure 3: Differences in Gini coefficient between the sample with non-missing circumstances and the total sample